



Economics

Focus Germany

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The scramble toward 2029

When German Chancellor Merz [announced](#) a historic reform of the country's debt brake last spring, he promised to do "whatever it takes" to [turn](#) the Bundeswehr into the "stronger conventional army in Europe". More than a year into the parliamentary term, there is no doubt that Merz's government is putting its money where its promises are. While the disbursement of the special fund for infrastructure has [looked](#) undisciplined at times, the government's commitment to raising Germany's NATO quota to 3.5% by the end of its term is iron-clad. If anything, Berlin has been doubling down on its ambitious defence budget plans.

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Ambitious fiscal targets

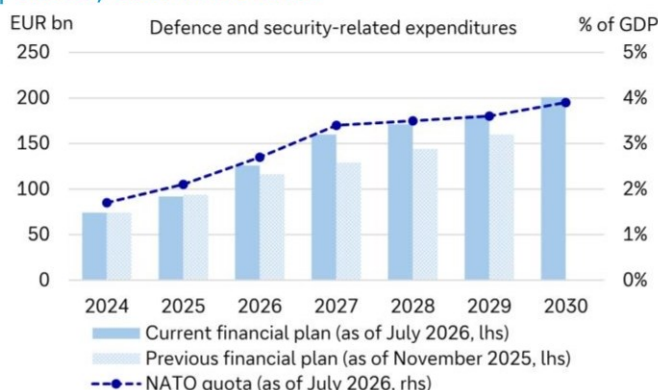
The draft budget for 2027, [presented](#) earlier this month, allocates EUR 160bn, or 2.7% of GDP, to defence and security (see [Figure 1](#)). This is a meaningful increase from the 2.1% budgeted for 2026, and importantly, it is a steeper increase than the government had envisaged when it drew up its first medium-term financial plan last autumn. Compared to that earlier plan, the government has earmarked another EUR 22bn for defence—all debt-funded.

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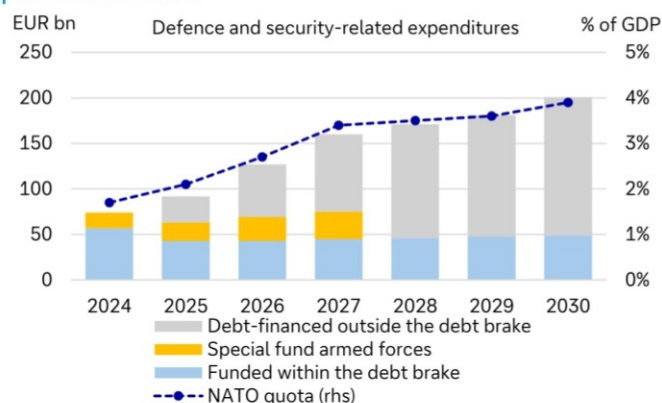
Beyond 2027, the defence budget is planned to rise to EUR 171bn, or 3.5% of GDP, in 2028. By 2029, the government plans to spend 3.6% of GDP (or every third euro in the core budget) on defence and security. Thus, while the government always aimed to achieve a NATO quota of 3.5% well ahead of the deadline agreed with allies, the budget revisions since last autumn mean that the quota will now be reached by 2029 at the latest.

Figure 1: Germany plans to reach a NATO quota of 3.5% by 2029 at the latest



Source: Deutsche Bank Research, Federal Ministry of Finance.

Figure 2: The bulk of additional defence spending will be debt-funded



Source: Deutsche Bank Research, Federal Ministry of Finance.

Cumulatively, the government now plans to spend about EUR 730bn on defence and security between 2025 and 2029, again a notable increase on the roughly



EUR 640bn earmarked in last autumn's financial plan. The bulk of these defence expenditures, at least EUR 500bn, will be directly funded via fresh debt, thanks to the generous exemption from the debt brake (only the first 1% of GDP in defence spending counts against the modified debt brake) as well as to the remaining special fund for the armed forces set up in 2022 (see [Figure 2](#))

A strong political commitment

This ambitious fiscal plan is fully in line with the modified debt brake, which puts no constitutional constraints on the government's ability to borrow for defence. (Ironically, as we discuss below, the EU fiscal rules could turn out to be a more binding constraint in the medium term.) It is increasingly evident that carving out defence spending from the debt brake—with the 1% rule acting as little more than a fig leave—was a far more consequential fiscal regime change than the alternative of setting up another special fund for defence.

Indeed, while the EUR 500bn special fund for infrastructure and climate transformation is at risk of being eroded by rapidly rising construction costs in coming years, the government will be able and willing to protect its ambitious defence budgets against rising prices. This is perhaps one reason why the government has started to reallocate some security-relevant infrastructure projects (rail, roads, bridges) from the infrastructure fund to the defence budget. We would not be surprised to see even larger re-appropriations in future budgets. After all, the distinction between civilian and defence-related infrastructure is a blurry one nowadays.

Importantly, the defence budget appears to be one of the few areas on which the two coalition partners are in unanimous agreement, as Chancellor Merz stressed in a recent press conference. Nor are there any audible grumblings in the rank and file of either party. While some of the reform measures recently [announced](#) by the government could face a rocky passage through parliament in the autumn, and while some of the social expenditure cuts in the draft budget could yet see some debates over the summer, there is no obvious discontent in either party over the government's borrowing plans for defence and security.

Some strategic considerations

The obvious reason for this strong consensus and commitment is that the German government [assesses](#), in line with NATO, that Russia could be ready for a kinetic attack on NATO territory by 2029. The possibility of the US inaugurating in early 2029 a new President with more isolationist views on NATO only magnifies the perception that Germany needs to project both a credible military deterrent and a strong financial commitment no later than 2029.

At the same time, Germany's next federal election, scheduled for spring 2029, poses a political tail risk to the "whatever it takes" defence strategy. Based on current polls, the centrist parties that jointly reformed the debt brake last spring—CDU/CSU, SPD, and Greens—are polling at 48%, just enough for a slim majority of seats thanks to the 5% hurdle (see [Figure 3](#)**Error! Reference source not found.**). If this majority slipped away by the next election, however, it would be difficult to find support for large debt-funded defence budgets from the other two parties.

Finally, the government's "whatever it takes" strategy could run into a potential conflict with EU fiscal rules, once the escape clause for defence spending expires at the end of 2028. While Germany's deficit currently just about complies with the

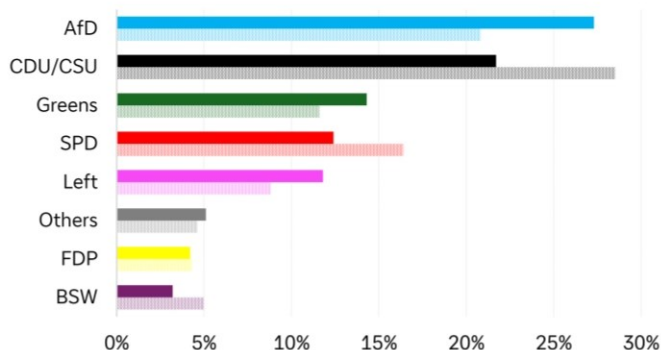


3% reference value thanks to the escape clause, on the European Commission's projects at any rate, it would become hard to avoid an excessive deficit procedure if the escape clause were not extended beyond 2028. While it is hard to imagine that Germany's European partners would cry foul loudly, a violation of the EU's fiscal rules could erode the credibility of a "whatever it takes" defence strategy in the domestic political debate.

In our view, this concentration of external and domestic political risks in 2029 will act as a sort of 'triple lock' on German defence spending in the next three years. As mentioned above, we believe the government's latest financial plan represents a lower bound for German defence spending (and thus borrowing) over this period, given the risk of rising prices across the defence industry. We would not at all be surprised to see a significantly higher defence spending in the 2028 draft budget next summer than pencilled into the current financial plan. When it comes to defence, this is a German government solving for the bang, not for the buck.

Figure 3: The two coalition parties have lost ground in polls since the last election, with the AfD on the rise

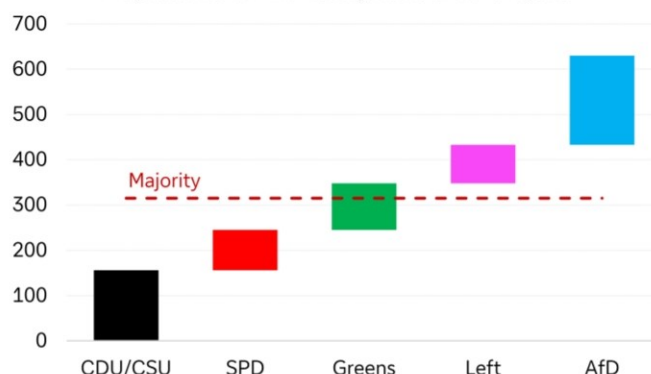
Poll of polls, German Bundestag (latest vs last election)



Source: Deutsche Bank Research. dawum.de

Figure 4: The centrist parties would reach only a slim majority in the next election based on current polls

Projected seats in Bundestag based on current polls



Source: Deutsche Bank Research. dawum.de

A "second-best" strategy

The focal point of 2029 may not only explain the growing volume, but also the specific composition of German military procurement, which has been criticized by some analysts for being overly focused on traditional weapons systems ordered in Germany and the US. Researchers at the Kiel Institute [estimate](#) that Germany has lately spent less than 10% on "new-paradigm systems" such as autonomous platforms, compared with Poland's 16%. Moreover, close to 90% of recent orders have gone to German companies, after an earlier bout of orders from the US.

A more optimal approach, so the critics argue, would be (a) to "buy European" with a view to establishing a true European single market for defence goods, and (b) to invest more heavily in cutting-edge defence technology, learning from the new warfare paradigm observed in Ukraine. A greater emphasis on frontier technology, or so critics argue, would build a more credible military deterrent and yield higher economic growth dividends from technological spillover effects.



However, if the government's current procurement strategy looks myopic, this may be rooted in a genuine concern that it needs to deliver concrete results by 2029, rather than over the next decade. Strategically, the government is under time pressure to close the most glaring gaps in Germany's conventional capabilities, whilst continuing to provide military assistance to Ukraine. And domestically, it is under political pressure to produce tangible evidence that the country has something to show for the hundreds of billions of Euros to be borrowed during this parliamentary term. This might entail a focus on replenished military depots—after decades of underspending and years of assistance to Ukraine—as well as on new jobs in Germany's defence sector.

Summary

We have outlined several reasons why the *Zeitenwende*—the paradigm shift in German defence policy that began after Russia's invasion of Ukraine in early 2022—needs to be completed around the year 2029. The time constraints imposed by this tacit deadline largely explain why the government has opted for a 'second-best' approach to military procurement. If it pays off, this approach will allow a future centrist government to pivot to a more technologically sophisticated and fiscally sustainable procurement strategy from 2029 on.





Appendix 1

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